



**U.S. Citizenship
and Immigration
Services**

**Non-Precedent Decision of the
Administrative Appeals Office**

In Re: 36618501

Date: JAN. 24, 2025

Appeal of California Service Center Decision

Form I-129, Petition for a Nonimmigrant Worker (L-1A Manager or Executive)

The Petitioner, a health and wellness supplement company, seeks to temporarily employ the Beneficiary as the president of its new office¹ under the L-1A nonimmigrant classification for intracompany transferees. Immigration and Nationality Act (the Act) section 101(a)(15)(L), 8 U.S.C. § 1101(a)(15)(L). The L-1A classification allows a corporation or other legal entity (including its affiliate or subsidiary) to transfer a qualifying foreign employee to the United States to work temporarily in a managerial or executive capacity.

The Director of the California Service Center denied the petition concluding the Petitioner did not establish that the Beneficiary was employed abroad in a managerial or executive capacity. The Director further determined the Petitioner did not demonstrate that the Beneficiary would be employed in a managerial or executive capacity in the United States within one year of an approval of the petition. The matter is now before us on appeal. 8 C.F.R. § 103.3.

The Petitioner bears the burden of proof to demonstrate eligibility by a preponderance of the evidence. *Matter of Chawathe*, 25 I&N Dec. 369, 375-76 (AAO 2010). We review the questions in this matter de novo. *Matter of Christo's, Inc.*, 26 I&N Dec. 537, 537 n.2 (AAO 2015). Upon de novo review, we will dismiss the appeal as the Petitioner did not establish that the Beneficiary would be employed in the United States in a managerial or executive capacity within one year. Since this issue is dispositive, we decline to reach and hereby reserve the Petitioner's arguments with respect to the Director's other ground for denial. *See INS v. Bagamasbad*, 429 U.S. 24, 25 (1976) ("courts and agencies are not required to make findings on issues the decision of which is unnecessary to the results they reach"); *see also Matter of L-A-C-*, 26 I&N Dec. 516, 526 n.7 (BIA 2015) (declining to reach alternative issues on appeal where an applicant is otherwise ineligible).

I. LEGAL FRAMEWORK

To establish eligibility for the L-1A nonimmigrant visa classification in a petition involving a new office, a qualifying organization must have employed the beneficiary in a managerial or executive

¹ The term "new office" refers to an organization which has been doing business in the United States for less than one year. 8 C.F.R. § 214.2(l)(1)(ii)(F). The regulation at 8 C.F.R. § 214.2(l)(3)(v)(C) allows a "new office" operation no more than one year within the date of approval of the petition to support an executive or managerial position.

capacity for one continuous year within three years preceding the beneficiary's application for admission into the United States. 8 C.F.R. § 214.2(l)(3)(v)(B). In addition, the beneficiary must seek to enter the United States temporarily to continue rendering his or her services to the same employer or a subsidiary or affiliate thereof in a managerial or executive capacity. *Id.*

The petitioner must submit evidence to demonstrate that the new office will be able to support a managerial or executive position within one year. This evidence must establish that the petitioner secured sufficient physical premises to house its operation and disclose the proposed nature and scope of the entity, its organizational structure, its financial goals, and the size of the U.S. investment. *See generally*, 8 C.F.R. § 214.2(l)(3)(v).

II. U.S. EMPLOYMENT IN AN EXECUTIVE CAPACITY WITHIN ONE YEAR

The Petitioner does not claim that the Beneficiary would be employed in a managerial capacity. Therefore, we restrict our analysis to whether the Petitioner established that the Beneficiary would be employed in an executive capacity in the United States within one year of an approval of the petition.

"Executive capacity" means an assignment within an organization in which the employee primarily directs the management of the organization or a major component or function of the organization; establishes the goals and policies of the organization, component, or function; exercises wide latitude in discretionary decision-making; and receives only general supervision or direction from higher-level executives, the board of directors, or stockholders of the organization. Section 101(a)(44)(B) of the Act.

When examining the executive capacity of a given beneficiary, we will review the petitioner's description of the job duties. The petitioner's description of the job duties must clearly describe the duties to be performed by the beneficiary and indicate whether such duties are in an executive capacity. *See* 8 C.F.R. § 214.2(l)(3)(ii).

A. Duties

The Petitioner stated that it would operate "within the direct selling industry, where [they] connect consumers directly with high-quality health and wellness products." The Petitioner described the Beneficiary's proposed duties during its second year of operation as follows:

1. **Build, manage, and empower the Independent Contractor Community (Whole year).** *Continually create a thriving independent contractor environment to create drive and equip them with the necessary skills, foundation, mindset, and the opportunity to be recognized and rewarded.*
 - **State meeting and events.** Identify states with a high concentration of independent contractors and customers and collaborate with top performing independent contractors to set activities that promote growth and sales.
 - **Set weekly and monthly regular online activities** to promote products for customers and training for all independent contractors.
 - **Architect a comprehensive rewards and recognition strategy** to motivate and retain top tier independent contractors.

- **Develop and execute customer-centric promotions** to drive satisfaction and brand loyalty.
 - **Plan and execute bi-annual and yearly convention.**
 - **Leverage established social media channels to drive deeper engagement.** Focus on refining content strategy, expanding audience reach, and exploring advanced social media marketing tactics.
- 2. E-commerce platform optimization and expansion (start of the year)**
- **Strategic Platform Assessment:** Conduct a comprehensive evaluation of the e-commerce platform to identify opportunities for revenue growth, independent contractor, and customer experience enhancement, and overall operational efficiency.
 - **Functional Enhancement Roadmap:** Develop and execute a strategic plan to optimize platform functionalities, aligning with evolving customer preferences and market trends.
- 3. Merchant and Payment Channel Management (Start of the year)**
- To assess and evaluate merchant partners to enhance the payment ecosystem to ensure seamless customer transactions, minimize processing costs, and mitigate risks.*
- 4. New Product Development and Launch (6th month)**
- Lead the development and launch of new products lines to diversify revenue streams and capture market opportunities not only locally but internationally.*
- 5. Oversee and ensure full compliance with all federal, state, and local tax regulations (1st month)**
- Collaborate closely with external accountants to ensure accurate tax filings, recordkeeping and reporting across all jurisdictions.
 - Develop and maintain comprehensive tax compliance calendars to track deadlines, reporting requirements, and necessary actions.

In addition, the Petitioner further submitted a breakdown of the Beneficiary's day-to-day executive-level responsibilities, including some of the following tasks:

- Identify critical travel opportunities to meet with high-impact independent contractors within the United States.
- Conduct comprehensive reviews of online product and order fulfillment processes within the Admin Panel.
- Send out marketing emails to customers and independent contractors within the database.
- Manage US-based company email inquiries, ensuring timely and effective responses.
- Provide strategic direction and approvals for social media content (images, videos, captions) proposed by the dedicated team.

- Evaluate the prior day's social media performance and prepare insightful recommendations for improvement.
- Ensure seamless order fulfillment for both in-office and online channels (Ohio office and fulfillment facility).
- Check and confirm the accuracy of orders.
- Collaborate within the social media team and US IT department in virtual development meetings to optimize website functionality and user experience.
- Review and accuracy check on all transactions in merchant accounts, bank accounts, inventory and fulfillment platform tools for the days cut off.

In denying the petition, the Director concluded that many of the Beneficiary's duties in his year two duty description were not consistent with one employed in an executive-level position and more indicative of an employee performing tasks necessary to provide goods and services. The Director further reasoned that the Petitioner did not provide a breakdown of the percentages of time the Beneficiary would devote to each of his proposed tasks, and therefore, that they could not determine whether he would primarily perform qualifying executive-level duties. Therefore, the Director stated the Beneficiary's duties were not sufficient to demonstrate that he would primarily act as an executive within one year.

On appeal, the Petitioner contends the provided U.S. duties were sufficient to demonstrate that the Beneficiary would primarily act as an executive within one year. The Petitioner notes that the Director did not require an allocation of percentages assigned to each duty in the request for evidence (RFE). The Petitioner also asserts that the Director erred in focusing on the Beneficiary's stated duties during his second year in his position, rather than his proposed first year duty description. The Petitioner emphasizes that it provided a first-year duty description indicating in detail the Beneficiary's duties during this time, including "the company's growth strategy, business structure, and policies and procedures."

Upon review, we disagree with the Petitioner that the Director's focus on the Beneficiary's second year duties was improper. Although we acknowledge that the new office language indicates the Beneficiary should be acting primarily in an executive capacity within one year, the duties provided for his second year reflect tasks to be performed at the start of its second year of operation, during the first month of his second year of employment, and throughout this second year. Therefore, they are probative as to whether the Beneficiary would be acting primarily in an executive capacity towards the end of the one-year new office period and more relevant to his potential eligibility than duties he would perform throughout the first year while developing the Petitioner's operations. Further, reason also follows that if the Beneficiary's duties are insufficient to demonstrate his qualifying executive capacity at the start of his second year in the position, then it is questionable that his first-year duties could establish this eligibility.

The Petitioner submitted a duty description for the Beneficiary that does not credibly demonstrate he would primarily perform executive-level tasks within the first year. Although we acknowledge that the Director did not specifically request percentages of time assigned to each of the Beneficiary's daily tasks in the RFE, it is still the Petitioner's burden to demonstrate that he would primarily perform executive-level duties during the first year. Further, the Petitioner has not remedied this deficiency on appeal, leaving further uncertainty as to whether he would perform qualifying executive-level tasks

within the first year. The Petitioner must resolve discrepancies and ambiguities in the record with independent, objective evidence pointing to where the truth lies. *Matter of Ho*, 19 I&N Dec. 582, 591-92 (BIA 1988).

As discussed by the Director, the Beneficiary's provided several apparent daily non-qualifying operational tasks, including him traveling to meet with independent contractors, reviewing online product and fulfillment processes, sending emails to customers and contractors, and managing email inquiries directed to the company. Likewise, these daily tasks reflected him reviewing social media performance and content, checking orders for accuracy, focusing on optimization of website functionality and user experience, and reviewing and confirming the accuracy of *all* [emphasis added] transactions in merchant accounts, bank accounts, inventory, and fulfillment platform tools. These duties suggest that just after the first year period, he would be still primarily responsible for numerous non-qualifying operational tasks, or at the very least, engaging in ordinary operational activities alongside the Petitioner's other employees. *See Family Inc. v. USCIS*, 469 F.3d 1313, 1316 (9th Cir. 2006).

Whether the Beneficiary is an executive employee turns on whether the Petitioner has sustained its burden of proving that their duties are "primarily" executive. *See* section 101(a)(44)(B) of the Act. Here, the Petitioner does not sufficiently document what proportion of the Beneficiary's duties would be executive functions and what proportion would be non-qualifying operational tasks by the end of the first-year new office period. As discussed, the Petitioner lists the Beneficiary's daily tasks as including both executive tasks and administrative or operational tasks, but it does not sufficiently quantify the time he would spend on these different duties. For this reason, we cannot determine whether the Beneficiary would primarily perform the duties of an executive within the first year. *See IKEA US, Inc. v. U.S. Dept. of Justice*, 48 F. Supp. 2d 22, 24 (D.D.C. 1999).

B. Business Plan and Projected Staffing

In the case of a new office petition, we review the petitioner's business and hiring plans and evidence that the business will grow sufficiently to support a beneficiary in the intended executive capacity. A petitioner has the burden to establish that it would realistically develop to the point where it would require the beneficiary to perform duties that are primarily executive in nature within one year of the petition's approval. Accordingly, we consider the totality of the evidence in analyzing whether the proposed executive position is plausible based on a petitioner's anticipated staffing levels and stage of development within a one-year period. *See* 8 C.F.R. § 214.2(l)(3)(v)(C).

As discussed, the Petitioner asserted that the Beneficiary would be employed as an executive within one year. The statutory definition of the term "executive capacity" focuses on a person's elevated position. Under the statute, a beneficiary must have the ability to "direct the management" and "establish the goals and policies" of an organization or major component or function thereof. Section 101(a)(44)(B) of the Act. To show that a beneficiary will "direct the management" of an organization or a major component or function of that organization, a petitioner must show how the organization, major component, or function is managed and demonstrate that the beneficiary primarily focuses on its broad goals and policies, rather than the day-to-day operations of such. An individual will not be deemed an executive under the statute simply because they have an executive title or because they "direct" the organization, major component, or function as the owner or sole managerial employee. A

beneficiary must also exercise “wide latitude in discretionary decision making” and receive only “general supervision or direction from higher level executives, the board of directors, or stockholders of the organization.” *Id.*

The Petitioner submitted a U.S. organizational chart reflecting that it planned to hire an administrative officer, a trainer, and a cashier/customer service representative. The Petitioner’s hiring projections indicated that it planned on hiring the administrative officer during the first year and the trainer and the cashier/customer service representative during its second year of operation.

When a new business is established and commences operations, the regulations recognize that a designated executive responsible for setting up operations will be engaged in a variety of activities not normally performed by employees at the executive-level and that often the full range of executive responsibility cannot be performed. To qualify for the L-1 nonimmigrant classification during the first year of operations, the regulations require a petitioner to disclose the proposed nature of the business and the size of the U.S. investment and establish that the proposed enterprise will support the executive position within one year of the approval of the petition. *See* 8 C.F.R. § 214.2(l)(3)(v)(C). This evidence should demonstrate a realistic expectation that the enterprise will succeed and rapidly expand as it moves away from the developmental stage to full operations, where there would be an actual need for an executive who will primarily perform qualifying executive-level duties.

In support of the petition, the Petitioner emphasized that it had “taken the necessary steps to have its health and wellness products lines pass US Food and Drug Administration (FDA) inspection to be designated as US FDA compliant,” including projections that this would be finalized within three to four months within its first year of operation. However, although the Petitioner provided some supporting documentation indicating that it had consulted a professional as to the prospects of getting clearance on the approval of its products for sale in the United States market, there is little indication that documentation to this effect was filed or evidence to corroborate that this would likely take place within the first year. In addition, the Petitioner projected it would spend only \$100 on “licenses and dues” and \$1000 on “legal and accounting,” seemingly inadequate amounts in light of its product investment. This is particularly noteworthy since the Petitioner asserts that the most significant investment in the new venture would be a shipment of the foreign employer’s inventory of wellness products in the amount of approximately \$58,000.

Likewise, the Petitioner stated in the business plan that in its first six months of operation it would “onboard 100-300 independent contractors” and “equip them with in-depth product knowledge, effective sales techniques, and essential marketing skills.” However, the Petitioner provided little explanation or supporting evidence to demonstrate that it would likely engage hundreds of independent contractor sales representatives within the first six months. First, it is questionable that the Beneficiary would be able to handle this level of recruitment and training alone within six months, particularly since it did not project to hire a sales training employee until its second year of operation. Further, the Petitioner indicated it had only otherwise invested \$30,000 in the business venture which had already been spent in securing its offices and for other initial expenses when the petition was filed, as such, it is not clear how it would fund such a large recruitment effort without further investment. The Petitioner also projected it would spend \$19,000 on stated “sales expenses” during the first year, including only \$15,000 in commissions. It is difficult to discern how the Petitioner would engage hundreds of independent contractor sales representatives during the first year while only paying

\$15,000 in projected commissions and meet its financial projections while spending only \$4000 on advertising and marketing during the first year. Similarly, the Petitioner further projected that it would again pay only \$15,000 in commissions during its second year of operations, again leaving substantial question as to whether it would have sufficient sales employees to sell its products during the first year as claimed. This also leaves doubt as to the Beneficiary's asserted duties at the end of the first year, which are heavily focused on overseeing an "independent contractor community."

It is not sufficient for the Petitioner to assert that the foreign employer will simply cover additional expenses, it must have credible and supported business, investment, and hiring plans to sufficiently establish it is more likely than not to start operations quickly and support the Beneficiary in an executive capacity within the first year. For instance, it is also not clear how the Petitioner would pay its sole projected employee during the first year, the administrative officer, or the Beneficiary without any apparent ability to sell goods or sales representatives to sell. Further, the Beneficiary's duties also discuss a "social media team" and an "IT department" he would manage, neither of which are included in its first year hiring projections, even if it had sufficient investment funds to pay these components. Again, the Petitioner must resolve discrepancies and ambiguities in the record with independent, objective evidence pointing to where the truth lies. *Matter of Ho*, 19 I&N Dec. at 582, 591-92.

As discussed, the Petitioner submitted daily duties for the Beneficiary relevant to the time just after the first year reflecting his wide involvement in non-qualifying operational tasks. The Petitioner further indicated it would hire only one employee during the first year, whom it did not demonstrate it could pay, and it did not sufficiently substantiate it would likely have personnel and resources to engage and train hundreds of independent contractors during the first year as claimed. Therefore, it is not clear how the Beneficiary would operate in an elevated position focusing primarily on the broad goals and policies of the organization and how he would be primarily relieved from the non-qualifying operational tasks of the business, such as the Petitioner's proposed sales and marketing and order fulfillment activities.

For the foregoing reasons, the Petitioner has not established that the Beneficiary would be employed in an executive capacity within one year of an approval of the petition.

ORDER: The appeal is dismissed.